

Anarchist Political School

Class, Capitalism, and the State



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The Anarchist Political School is a project of the Melbourne Anarchist Communist Group. For more information, check out our website melbacg.au



Capitalism

Capitalism is an economic system, but it is a system that has wormed its way into the whole of our lives. The capitalist system has edged out nearly all others, all over the globe. Capitalism is like the air we breathe. It's hard to see it unless we can view our lives from a different perspective, a radical perspective. But there really is another way of organising society, a better way.

Capitalism is a **class society**. A class society is a society divided into classes based on the control of wealth, property and power. Slave societies, for example, are class societies in which slave owners constitute a ruling class, and slaves constitute a subservient class. In a slave society, slave owners live off of the labour of people held in a state of slavery.

In a capitalist society, the ruling class are major shareholders, senior managers, bosses, employers, and top government officials (elected and unelected). They are a small section of society who own and control the **means of production** - the land, factories, mines, offices and so on. They live off the profits, rent and dividends and the very high salaries they make through their business activities and top government posts.

The wealth and privileges of the ruling class rest on two main bodies of centralised power: the corporation and

the State. This ruling class is a tiny minority, who exercise power over production from above.

The **working class** are those who have nothing to sell but their ability to work. The working class includes blue collar workers, white collar workers, workers in the service sector, farm workers, the unemployed, people with disabilities, rank-and-file soldiers, and those retirees who are mostly living off their saved wages.

Because workers don't have control over property, we are forced to find a capitalist to hire us, or face unemployment. When hired, we sell our bodies and our minds for a certain amount of hours a day to our employers, who decide what we do, how we do it, and the conditions we do it in.

All people forced to sell their ability to labour to capitalists in exchange for a wage are in the working class. Contrary to common stereotypes, the working class is neither white nor male. The working class is multi-racial, multicultural and gender diverse.

Anarchism is an idea and movement of the working class.

The term "middle class" as it is commonly used is a construct which has little meaning, and arises from notions of identity and not an understanding of class

politics. Many people who think they are in the “middle class” are really working class, like teachers, lecturers, public servants. Some are in the ruling class, like managers, small business owners, and government officials with the power to hire and fire, as well as exercise control over the work-process.

Discuss

What are the ‘means of production’? Why is this concept significant to our understanding of capitalism?

Are contractors or the ‘self-employed’ part of the working class?

The Working Class

Anarchists are opposed to the capitalist system. Capitalism is based on domination and exploitation. The bosses own the warehouses, factories, banks, mines, etc. while we, the workers, have to sell our ability to work for a wage. Bosses are interested in squeezing as much work out of us for as little as possible. The more wages we get, the less profit the bosses make.

Workers produce all of the value in society. We make the products that capitalists sell, we build the machinery that we use to create those products, and we build the infrastructure that supports capitalist enterprises in

general. These things have value – meaning, they are either useful in themselves, or as something which can be exchanged on the market – because workers’ mental and physical energy was used to produce them.

Workers are not paid according to the value they produce. On average, we only get paid enough to sustain ourselves and produce the next generation of workers. The capitalists cream off the difference between what we’re paid and what our work produces. This is a stolen surplus they use to support all sorts of unproductive activity: repression (police, prisons, etc); useless advertising; luxurious lifestyles; and, crucially, accumulation of ever greater wealth. Socially useful work is done by workers, and does not require bosses. The ruling class is parasitic and lives off the labour of the working class, and competition drives them to maximise exploitation and expand their share of the market. Any ‘work’ they do is fundamentally about directing the labour of others.

Clearly, the interests of the capitalist class are in total opposition to those of the working class: capitalism is based on inequalities in wealth, power and opportunity. Few workers get to go into business and very few become significantly rich through it. Instead, the rich get richer at the expense of the poor. In Australia during the COVID19 crisis, for example, 31 billionaires added \$85

billion to their net worth, whilst at the same time almost 600,000 workers lost their jobs.

Capitalism is an authoritarian and undemocratic system. At the workplace level, capitalist enterprises are run by unelected managers and owners, who make all key decisions on the basis of profit. The vast majority of people in a workplace – the workers – have no real say at all. Class inequality systematically excludes most people from active and equal involvement in political activity because they lack necessary resources such as time and education.

Simply put, capitalists are only a very small minority of people. Most people in the capitalist system are working class. But this large majority has no ownership or control. Large companies like BHP, Amazon, and Aldi are mostly staffed by workers, who do everything from digging ore and filing papers, to driving trucks and stocking shelves. They are exploited and dominated, making goods or services to the primary benefit of the ruling class. Workers have the same lack of power in the public sector, where decisions are made by managers and government officials seeking maximum efficiency out of the workforce.

The very structure of capitalism requires that production be based on profit and power, rather than meeting human needs and wants. Therefore, although there is

enough food in the world to feed everyone, people starve because profits come first. Food is not distributed on the basis of hunger, or any rational plan, but on the basis of who can pay. Capitalists let food rot rather than give it away for free. Similarly, vast billions are spent on guns, prisons, surveillance, and weapons of mass destruction, so that they can be used by ruling classes in wars against each other – or to suppress unruly workers. Meanwhile, billions are hungry, poor and insecure. Countless people are condemned to spend most of their waking lives in mind-numbing, if not back-breaking work – much of it useless or even harmful – so that they can make profits for the bosses, and ensure that the system continues to endlessly expand. This is ‘freedom’ under capitalism.

Discuss

In what ways is capitalism undemocratic? Who makes the decisions and why do they make them?

Why are goods and services produced under capitalism? How might decisions about production be different under a genuinely democratic system?

The State

To abolish capitalism and establish a society of freedom and equality for all, we need to overthrow the capitalist

class. But this is no easy task. The bosses are organised. They have the newspapers, TV, radio, and social media companies on their side.

They also have **the State**, a machinery of domination which ensures the suppression of an exploited class by a ruling one. The State is there to protect the interests of this minority, the ruling class, if not by persuasion, then by force. Laws are made not to protect us but to protect those who own the property and have the power.

In ancient Rome, it suppressed the slaves for the benefit of the slave owners. In feudal Europe, it suppressed the peasants for the benefit of the aristocracy. Under capitalism, the state suppresses the workers so that the capitalists can continue to rule and accumulate profits. Without the police, they couldn't make us pay at the supermarket. Without the courts, they couldn't evict tenants who didn't pay their rent. And, if we didn't have to pay for our needs, we couldn't be forced to work at pointless jobs we hate, or in rotten conditions at the command of a boss. The State holds capitalist social relations together.

Just as it is impossible for the capitalists to do all the work in their businesses, it is impossible for the small minority who actually govern – top State officials and politicians – to do everything that the State needs to do. The State only works when this elite can instruct,

control, or rely on the labour of millions as part of a large workforce. Therefore, the State itself produces class divisions, both through the labour that the State controls, and enforcing property rights.

The State needs soldiers and police; it needs people to keep records; it needs people to carry out whatever other activities the State has undertaken. In most countries, this means the State also has to employ teachers, gardeners, scientists and academics, cleaners, road builders, journalists and many others. This means class struggle also takes place against the State as an employer. Just like a private corporation, the state is centralised, exploitative and dominating, it does not change because you change the personnel at the top.

Just as private corporations compete with each other, States also compete. Just as private firms are funded by exploitation, so are the various appendages of the State – either directly (by exploiting its own workers) or indirectly e.g. through taxes, which are in fact derived, directly or indirectly from exploited work (surplus value). And just as capitalism must be abolished, to be replaced by a free, cooperative system, so must the State.

The State is built in a way that allows the minority to rule the majority: It is hierarchical and centralised in the sense that power is exercised from the top-down. Even

within parliamentary systems, the decision-making power of most people is restricted to selecting representatives. After the election, they are alienated from the process entirely. Power is in the hands of a governing group, with the power to make and enforce laws within a certain territory, and who see maintaining their own power as a necessary goal. This is the nature of all States, including the former so-called 'socialist' states, such as the Soviet Union.

Discuss

What happens when a workers' party takes over the running of the State?

Can the state be a vehicle for workers to run society?

Class Struggle

Capitalism must be fought and ultimately overthrown. The working class has the essential role in accomplishing this task. Because bosses and governments rely on the surplus value workers create, we have a powerful weapon in our hands: our ability to disrupt the profit system through workplace action like strikes, slow-downs, sabotage, workplace-occupations, and so on. This ability to hit the ruling class where it hurts most – the pocket – is the most powerful weapon in the hands of the working class.

The power of the bosses derives from their control over the economy and their power can only be broken by taking the economy off them. Luckily, the working class already has its hands on the levers of power, because we are the ones who actually do the work. Workers need to cooperate with each other for production to occur, so co-operation in seizing the economy is a natural extension of cooperation in work. And when workers are concentrated in large workplaces, it is easier to build organisations like unions, so that we can successfully fight back against the ruling class.

This does not mean that only employed workers can fight back – working class neighbourhoods, education facilities and a range of shared activities also bring people together in groups, large or small, in a way that facilitates action. Struggles outside the workplace may lead to some victories, but it has to be remembered that the power of capital can only be uprooted by people who are actually in the workplace.

The capitalist class will never get rid of capitalism. They will fight to defend it because the system was designed for their benefit. Wealthy individuals are too conflicted to lead a movement for fundamental change – they have too much stake in the system, so they pull back at crucial moments when the struggle becomes too “threatening”. Thus there is little point in trying to involve

the rich and powerful in a movement against capitalism. Only the working class can lead the struggle to build a free, non-authoritarian society because only we do not exploit - we do not live off other people's backs.

Discuss

What do we mean by the term 'class struggle'?

What is it about the position of the working class within capitalism that creates the potential power to struggle and win against capitalism?

Opposing all forms of oppression

Class struggle is essential to defeating forms of oppression like racism, sexism and queerphobia. These oppressive systems arose from within class societies. They help to sustain capitalism, and are in turn sustained by capitalism. Racism, for example, was promoted by the ruling class to justify slavery and colonisation, and is still used to this day to justify their consequences. Racism is used to continually pit groups of workers (both within states and internationally) against each other. Victories against this or that symptom of racism can be won under capitalism, but it's like mowing the grass. Racism comes back again and again. Its roots must be torn up.

The fight against racism and other oppressions is not something separate to the class struggle: these are working class issues. We say this for the following reasons. Firstly, these oppressions support the capitalist system and are an obstacle in the way of overthrowing it. Secondly, the majority of people who are affected by these forms of oppression are workers. In fact, workers suffer far more from the effects of these forms of oppression because we are not shielded by our class status. Thirdly, a united struggle by the working class can only take place if people are mobilised on the basis of opposing all oppression and all exploitation, on the basis of a programme that addresses the interests of the entire working class: that programme is Anarchism. Touch one, touch all.

We believe that capitalism and all forms of oppression can only be ended once and for all when the workers overthrow the capitalists and create a democratic stateless society based on grassroots democracy. That is to say, an Anarchist society.

Discuss

Homophobia and transphobia directly affect only a relatively small proportion of the population. What effects, if any, do these oppressions have on the working class? Should workers oppose them and, if so, why? Is it purely on the basis of altruism, or is it in our class interests?

